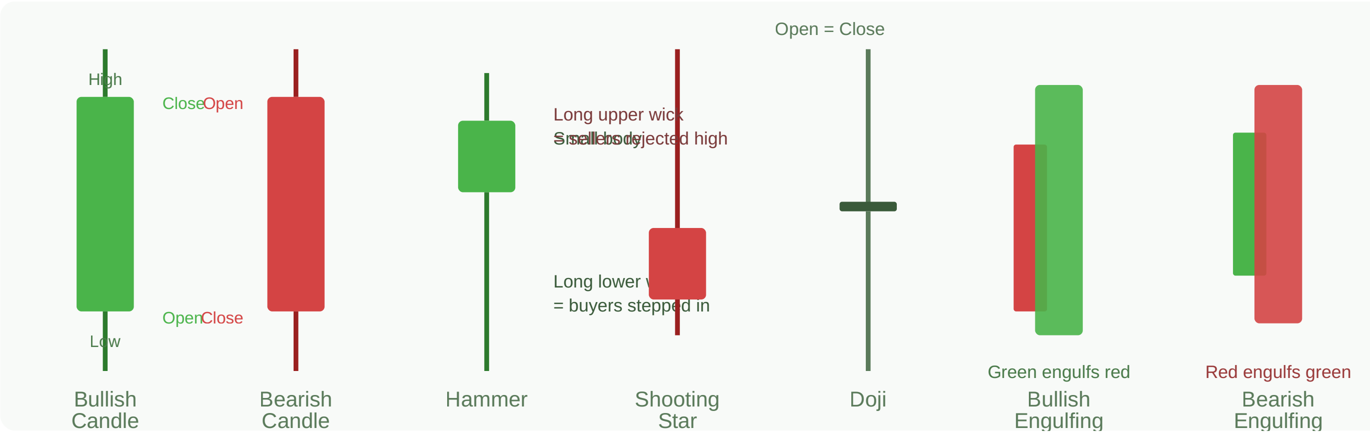
Every major candlestick type and a complete glossary of essential trading terms.

Free Download · topstocktrading.com

The language of trading is built on candlestick patterns and market terminology. Understanding what each pattern signals and what every term means is the foundation of reading price action and executing a consistent trading strategy.

CANDLESTICK TYPES — VISUAL REFERENCE



MAJOR CANDLESTICK PATTERNS — COMPLETE REFERENCE

PATTERN	TYPE	WHAT IT SIGNALS	BEST CONTEXT	CONFIRMATION NEEDED
Hammer	Bullish reversal	Buyers rejected lower prices strongly	At support after a downtrend	Next green candle closing above hammer high
Inverted Hammer	Potential bullish	Buyers attempted to push higher	At support after a downtrend	Next green candle with strong close
Shooting Star	Bearish reversal	Sellers rejected higher prices strongly	At resistance after an uptrend	Next red candle closing below low
Hanging Man	Bearish reversal	Same shape as hammer but in uptrend context	At resistance after an uptrend	Next red candle with conviction
Doji	Indecision	Neither buyers nor sellers in control	End of a trend as reversal warning	Direction of next candle determines outcome
Bullish Engulfing	Strong bullish reversal	Strong shift from sellers to buyers	Key support after a decline	High volume on the engulfing candle
Bearish Engulfing	Strong bearish reversal	Strong shift from buyers to sellers	Key resistance after a rally	High volume on the engulfing candle
Marubozu green	Strong bullish momentum	Buyers completely dominated the session	Breakouts and strong trend days	No confirmation needed
Morning Star	Bullish reversal 3-candle	Three-day transition from bearish to bullish	After significant downtrend at support	Volume increases on the third candle
Evening Star	Bearish reversal 3-candle	Three-day transition from bullish to bearish	After significant uptrend at resistance	Volume increases on the third candle

ESSENTIAL MARKET TERMINOLOGY — A TO Z REFERENCE

TERM	DEFINITION
Ask	The lowest price a seller will currently accept for their shares
Bid	The highest price a buyer will currently pay for shares
Catalyst	A news event or announcement that provides a reason for significant price movement
Circuit breaker	A temporary trading halt triggered when a stock drops a specific percentage quickly
Float	Total shares available for public trading — low float stocks are more volatile
Gap	When a stock opens significantly above or below its previous session closing price
Level 2	Real-time display of all current bids and asks in the order book
Margin	Borrowed capital from your broker to trade with more than your account balance
PDT Rule	Pattern Day Trader Rule — requires $25,000 minimum for 4+ day trades per week in a margin account
RVOL	Relative Volume — today's volume compared to the 20-day average daily volume
Short interest	Percentage of shares currently sold short — high = squeeze potential
Short squeeze	Heavily shorted stock rises sharply, forcing short sellers to buy back shares, accelerating the move up
Spread	Difference between the current bid and ask price
Tape reading	Analyzing the real-time stream of transactions to identify buying and selling pressure
VWAP	Volume Weighted Average Price — average of all transactions weighted by volume, resets each session

> **TST CORE PRINCIPLE**
>
> You do not need to memorize every candlestick pattern. Master the hammer, shooting star, doji, bullish engulfing, and bearish engulfing patterns. Those five cover the vast majority of reversal signals you will ever trade.

Full candlestick and technical analysis curriculum in the TST Academy Beginner section at topstocktrading.com